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SCAP NO. 18-0000578

IN THE SUPREME COURT OF THE STATE OF HAWAI'I

OCEAN RESORT VILLAS VACATION OWNERS ASSOCIATION, OCEAN RESORT VILLAS NORTH VACATION OWNERS ASSOCIATION, VIC H. HENRY, and PETER A. BAGATELOS,

Plaintiffs/Appellees,

v.

COUNTY OF MAUI and MAUI COUNTY COUNCIL,

Defendants/Appellants.

Civil No. 13-1-0848(2) (PTC)

(Other Civil Action)

APPELLANTS COUNTY OF MAUI'S AND MAUI COUNTY COUNCIL'S NOTICE OF APPEAL FROM **1)** ORDER CERTIFYING FOR INTERLOCUTORY APPEAL THE FINDINGS OF FACT CONCLUSIONS OF LAW; [ILLEGALITY] ORDER, FILED MARCH 23, 2018, PURSUANT TO HAWAI'I REVISED STATUTES SECTION 641-1(b) AND STAYING PROCEEDINGS UNDER HAWAI'I RULES OF CIVIL PROCEDURE RULE 62(d) AND (e), **2)** ORDER CERTIFYING FOR INTERLOCUTORY APPEAL COUNTS V, VI, VII, AND VIII OF THE SECOND AMENDED COMPLAINT, FILED AUGUST 12, 2016, PURSUANT TO HAWAI'I RULES OF CIVIL PROCEDURE RULE 54(b), AND STAYING PROCEEDINGS UNDER HAWAI'I RULES OF CIVIL PROCEDURE RULE 62(d) AND (e), and **3)** FINAL JUDGMENT ON COUNTS V, VI, VII, AND VIII OF THE SECONDED AMENDED COMPLAINT FILED ON AUGUST 12, 2016

Second Circuit Court
Judge: Honorable Peter T. Cahill

MOTION FOR PARTIAL DISMISSAL OF APPEAL WITH PREJUDICE AND REMAND FOR VACATING OF FINDINGS OF FACT, CONCLUSIONS OF LAW, ORDERS AND PARTIAL FINAL JUDGMENT

MEMORANDUM IN SUPPORT

DECLARATION OF COUNSEL

EXHIBIT 1

CERTIFICATE OF SERVICE

Department of the Corporation Counsel 205

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MOTION FOR PARTIAL DISMISSAL OF
APPEAL WITH PREJUDICE AND REMAND FOR VACATING
OF FINDINGS OF FACT, CONCLUSIONS OF LAW, ORDERS
AND PARTIAL FINAL JUDGMENT

Defendants/Appellants COUNTY OF MAUI and MAUI COUNTY COUNCIL ("COUNTY") respectfully move for partial dismissal of this appeal, remand, and if this court deems it appropriate, a direction to the trial court to vacate certain written findings, conclusions, orders, and a partial final judgment as agreed to and stipulated by the Appellants and Appellees on this appeal. As this court has been advised by the Court Ordered Status Report, filed January 2, 2020, this matter was submitted to the Appellate Mediation Program on November 12, 2019. *See* JEFS Dkt. 142 (SCAP-18-0000578). Appellants and Appellees have resolved the issues raised in **Points of Error Nos. 5, 6, and 7** of the Amended Opening Brief on this appeal.[1] Id. A Settlement and Release Agreement was entered into on October 10, 2019, which provides for the partial dismissal of the appellate issues which have been settled. *See* JEFS Dkt. 152, PDF p. 5, ¶ 2.2.2.

The Settlement and Release Agreement also reflects the parties' agreement for a partial remand of the appeal as pertains to related findings, conclusions, orders, and partial final judgment upon petition by the parties. Id. The Settlement and Release Agreement provides that on remand, the parties will cooperate to have the certain orders and a partial final judgment vacated by the circuit court. Id., ¶ 2.2.3.

This motion is filed pursuant to Rule 27 of the Hawai´i Rules of Appellate Procedure, pursuant to the Settlement and Release Agreement [JEFS Dkt. No. 152] entered into by

[1] The Amended Opening Brief was filed in CAAP-18-0000578 [JEFS Dkt. 212] on December 25, 2019, before the Order Granting Application for Transfer was entered by this court on February 20, 2019. *See* JEFS Dkt. 78 (SCAP-18-0000578).

Appellants and Appellees through the Hawai´i Appellate Mediation Program, and is supported by the attached Memorandum in Support of Motion, Declaration of Counsel, attached **Exhibit 1**, and the record in this case.

DATED: Wailuku, Maui, Hawaii, January 9, 2020.

MOANA M. LUTEY
Corporation Counsel
Attorneys for Defendants
/Appellants COUNTY OF MAUI
and MAUI COUNTY COUNCIL

By /s/ Brian A. Bilberry
BRIAN A. BILBERRY
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SCAP NO. 18-0000578

IN THE SUPREME COURT OF THE STATE OF HAWAI'I

OCEAN RESORT VILLAS VACATION OWNERS ASSOCIATION, OCEAN RESORT VILLAS NORTH VACATION OWNERS ASSOCIATION, VIC H. HENRY, and PETER A. BAGATELOS, Plaintiffs/Appellees, v. COUNTY OF MAUI and MAUI COUNTY COUNCIL, Defendants/Appellants.	Civil No. 13-1-0848(2) (PTC) (Other Civil Action) MEMORANDUM IN SUPPORT OF MOTION Second Circuit Court Judge: Honorable Peter T. Cahill

MEMORANDUM IN SUPPORT OF MOTION

I. NATURE OF APPEAL

This interlocutory appeal centers around and relates to the constitutional authority of the counties of Hawai´i pursuant to Article VIII, Section 3 of the Hawai'i State Constitution, to establish real property tax classifications, and set real property tax rates. The issues remaining for resolution by this court are raised in **Points of Error Nos. 1, 2, 3, and 4** of Appellants' Amended Opening Appellate Brief, filed December 25, 2018, as follows:

> **1)** The Second Circuit Court's assertion of subject matter jurisdiction over the claims raised in the underlying lawsuit was/is improper, ignores the special and exclusive subject matter jurisdiction of the Tax Appeal Court, and undermines Maui County's constitutional authority to adjudicate real property tax appeals. The Tax Appeal Court has exclusive subject matter jurisdiction over the real property tax matters and disputes raised in the underlying lawsuit as a matter of law.
>
> **2)** The Second Circuit Court's declaratory ruling and voiding as "illegal" duly enacted property tax code provisions establishing the County's "Timeshare" general real property tax classification was/is contrary to the constitutional

doctrine of the Separation of Powers and interferes with the County of Maui's constitutional "functions, powers, and duties" to identify, define, classify, and assess real property for purposes of taxation, land use policy, and economic policy.

3) The Second Circuit Court's conclusion that the general classification of "Timeshare" for real property tax purposes may only be established upon the sole consideration of "actual use" of property was/is wrong and undermines the entire structure of general classification and application of Maui County's real property tax code.

4) The Second Circuit Court's ruling that Plaintiffs are entitled to as much as $34,000,000.00 of tax refunds in the aggregate for combined assessment years dating back 12-14 years to 2006 despite Plaintiffs as taxpayers having not appealed their assessments within the required statutory period for each assessment year was/is wrong, is an abuse of discretion, threatens imminent and irreparable harm to Maui County's bond credit rating, and imperils the fiscal security of Maui County and its residents.

See JEFS Dkt. 212, PDF pp. 28-29 (CAAP-18-0000578).

As discussed shortly below, **Points of Error Nos. 5, 6, and 7** of this appeal were settled through the Appellate Mediation Program. *See* JEFS Dkt. 128, 142, 152, and 154.

II. PROCEDURAL HISTORY AND PARTIAL SETTLEMENT OF APPEAL

This interlocutory appeal was filed on July 20, 2018. *See* CAAP-18-0000578 JEFS, Dkt. 1. Appellants' Amended Opening Brief was filed on December 25, 2018. *See* JEFS Dkt. 212 (CAAP-18-0000578). A Brief of Amicus Curiae was filed by the Tax Foundation of Hawai´i on January 16, 2019. *See* JEFS Dkt. 221 (CAAP-18-0000578). Appellees' and Appellants' respective responses to the Brief of Amicus Curiae were filed on February 15, 2019. *See* JEFS Dkt. 227 and 229 (CAAP-18-0000578). This court's order accepting transfer of the case was entered on February 20, 2019. *See* JEFS Dkt. 78 (SCAP-18-0000578). Appellees' Answering Brief was filed on January 16, 2019. *See* JEFS Dkt. 103 (SCAP-18-0000578).

On May 3, 2019, Appellants and Appellees requested this appeal be entered into the Appellate Mediation Program. *See* JEFS Dkt. 118 (SCAP-18-0000578). On May 22, 2019, this

appeal was stayed by the Appellate Clerk pending mediation in the Appellate Mediation Program. *See* JEFS Dkt. 122. On November 13, 2019, the Appellate Mediation Program Case Report was filed, reporting that Appellants and Appellees partially settled the case, narrowed the issues, but did not resolve the entire appeal. *See* JEFS Dkt. 128. On November 13, 2019, the case was returned to the appellate docket. *See* JEFS Dkt. 132. On November 27, 2019, the case was placed on the Ready Calendar. *See* JEFS Dkt. 136. The Notice Placed on Ready Calendar noted that no Reply Brief had been filed.[2] Id.

On December 23, 2019, the Order by McKenna, J. was entered, directing the parties to file a status report, explaining which issues on appeal were settled, and which issues remain to be resolved by this court. *See* JEFS Dkt. 140. The Court Ordered Status Report was filed on January 2, 2020, identifying **Points of Error Nos. 5, 6, and 7** as having been partially resolved with the assistance of the Appellate Mediation Program. *See* JEFS Dkt. 142. The Court Ordered Status Report identifies **Points of Error Nos. 1, 2, 3 and 4** as remaining to be resolved by this court. Id.

The Settlement and Release Agreement disposing of **Points of Error Nos. 5, 6, and 7**, was filed pursuant to further order by this court. *See* JEFS Dkt. 149 (Order) and 152 (Settlement and Release Agreement). Appellants' and Appellees' counsel also executed a Stipulation and Order for Partial Dismissal of Appeal With Prejudice and for Remand, which was filed on January 3, 2020. *See* JEFS Dkt. 154.

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[2] Appellants have filed a pending Motion for Leave to File Appellate Reply Brief, referencing ¶ 2.2.6 of the Settlement and Release Agreement, whereby Appellants and Appellees expressly agreed:

> 2.2.6 County's Reply Brief in SCAP No. 18-0000578. The County's reply brief in SCAP No. 18-0000578 is due fourteen ***(14) days after the Hawai´i Supreme Court dismisses the Amended Assessment Appeal***. (emphasis added).

III. RELIEF REQUESTED BY THIS MOTION

By this motion and as reflected in the Stipulation and Order for Partial Dismissal of Appeal With Prejudice and for Remand [JEFS Dkt. 154], the parties have agreed to partial dismissal, remand, and vacating of certain orders and partial final judgment. Therefore, Appellants respectfully request this court enter a partial dismissal of the appeal reflected in **Points of Error Nos. 5, 6, and 7** raised in the Amended Opening Appellate Brief, and as related to the second circuit court's following findings, conclusions, orders, and partial final judgment:

> **a)** Findings of Fact, Conclusions of Law; Order Granting Plaintiffs' Motions for Partial Summary Judgment on Counts V, VI, VII and VIII of the Second Amended Complaint Filed August 12, 2016, Filed on December 1, 2016; and Denying Defendants County of Maui and the Maui County Council's Motions for Partial Summary Judgment as to Count V of the Plaintiffs' Second Amended Complaint Filed 2016-08-12, Filed on December 12, 2016, filed on August 9, 2017;
>
> **b)** Order Granting in Part and Deferring in Part Plaintiffs' Motion re Damages Related to Count VIII (42 U.S.C. § 1983) of the Second Amended Complaint Filed August 12, 2016, Filed on September 22, 2017, filed on January 23, 2018;
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> **c)** Order Granting (1) Plaintiffs' Motion for Further Hearing on Plaintiffs' Request for Fees and Costs Relating to Count VIII of the Second Amended Complaint Filed August 12, 2016, Filed March 6, 2018; and (2) Plaintiffs' Motion re Damages Related to Count VIII (42 U.S.C. § 1983) of the Second Amended Complaint Filed August 12, 2016, Filed September 22, 2017, Regarding Attorneys' Fees and Costs, filed on May 30, 2018; and
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> **d)** Final Judgment on Counts V, VI, VII, and VIII of the Second Amended Complaint Filed on August 12, 2016, filed July 2, 2018.

The parties' agreement for the vacating of these finding, conclusions, orders, and partial final judgment by the circuit court is provided for in ¶ 2.2.3 of the Settlement and Release Agreement:

> 2.2.3. Vacate Certain Second Circuit Court Orders. Upon remand to the Second Circuit Court as contemplated in section 2.2.2 of this Agreement, the Parties shall execute and submit for entry by the Second Circuit Court the Stipulation and Order Partially Lifting Stay, attached here as *Exhibit A*, in order to vacate (a) the AmendedAssessment Order; (b) the Damages Order; (c) the Fees and Costs Order; and (d) the Final Judgment. The Parties anticipate the Second Circuit Court's agreement to vacate these orders and the Final Judgment, but its failure to do so does not effect the enforceability of this Agreement, including but not limited to the monetary consideration due pursuant to paragraph 2.1 of this Agreement. The Parties' obligation to execute and
> file the Stipulation and Order Partially Lifting Stay is also not effected by the Second Circuit Court's failure to vacate any of the above-referenced orders or Final Judgment.

See JEFS Dkt. 152 (Settlement and Release Agreement); *see also* **Exhibit 1** attached.

As reflected in ¶ 2.2.3 of the Settlement and Release Agreement [JEFS Dkt. 152] and as agreed to by the parties, it would therefore seem not inappropriate for this court to direct the circuit court on remand to vacate the above identified findings, conclusions, orders, and partial final judgment.[3] Appellants further request on this basis that if this court deems it appropriate, the remand order issued by this court also direct the circuit court to vacate those findings, conclusions, order, and partial final judgment which are identified above.

IV. CONCLUSION

The agreement between Defendants/Appellants and Plaintiffs/ Appellees for partial disposition of this appeal pursuant to the terms of the Settlement and Release Agreement are not ambiguous. Therefore, Appellants/Defendants respectfully request this court issue an order which **1)** dismisses the part(s) of the appeal as provided for in the settlement and as specified

[3] Otherwise, the written Settlement and Release Agreement provides that the second circuit court will be petitioned by the parties to vacate these findings and rulings made in various of its orders and the partial final judgment appealed from, and which have been resolved in the Appellate Mediation Program.

herein, and **2)** remands for further disposition by the circuit court of the findings, conclusions, orders, and partial final judgment entered below.

Finally, to the extent this court may deem it appropriate, Defendants/ Appellants request on remand the circuit court be directed to vacate the findings, conclusions, orders, and partial final judgment entered below.

DATED: Wailuku, Maui, Hawaii, January 9, 2020.

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/Appellants COUNTY OF MAUI
and MAUI COUNTY COUNCIL

By /s/ Brian A. Bilberry
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